

IKEA: International Expansion Strategy — Balancing Global Standardization and Local Adaptation

Key Facts

Company	IKEA (Ingvar Kamprad Elmtaryd Agunnaryd)
Industry	Furniture and Home Retail
Founded	1943 — Ingvar Kamprad, Sweden
Global Presence	Over 450 stores in 60 countries
Revenue	Over €45 billion annually

Executive Summary

IKEA was founded in 1943 by 17-year-old Ingvar Kamprad in the Swedish countryside. It began selling pens, wallets, and picture frames by mail. Five years later, it added furniture. The idea that disrupted the industry: beautiful, functional furniture that anyone could buy and assemble themselves — "democratic design."

Today, IKEA is the world's largest furniture company, with 450 stores in 60 countries. But its road to globalization was not paved with roses. Entering Japan in 1974 failed miserably — the Japanese did not understand the "assemble it yourself" concept in a culture that prefers full service. IKEA withdrew from Japan and returned 30 years later with a deeper understanding of the local market. Entering China in 1998 revealed another challenge: the Chinese disliked the simple Scandinavian design and wanted more ornate furniture. Prices that were cheap in Europe were expensive in the Chinese market. IKEA had to cut prices by 60% and adapt its products.

In Saudi Arabia, IKEA faced yet another cultural challenge: the catalog had to respect local values while preserving the Swedish identity. IKEA learned a pivotal lesson: "global standardization" of furniture does not mean "the same furniture everywhere." The winning formula: keep 70% globally standardized (identity, quality, supply chain) and customize 30% locally (sizes, colors, materials, marketing).

International Expansion

Year	Country	Result	Lesson
1974	Japan	Failure — full withdrawal	Don't impose your cultural model; understand the local market first
1998	China	Success after repositioning	Lower prices and customize products locally
2000+	Russia	Success, then exit in 2022	Geopolitical risks are part of the expansion plan
1983+	Saudi Arabia	Success with cultural adaptation	Respect cultural sensitivities and preserve identity
2010+	India	Regulatory challenge	Local laws can delay entry for decades

Discussion Questions

- Is the 70/30 formula (standardized/local) applicable to every industry?
- How does a company decide when to stick to its global standards and when to adapt locally?
- What are the hidden risks of rapid international expansion that ignores cultural differences?